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TENTATIVE RULING

Plaintiffs Divrt, Inc. n/k/a Divert, LLC and Amit Rohatgi's Motion for Judgment on the Pleadings is DENIED.

Plaintiffs Divrt, Inc. n/k/a Divert, LLC and Amit Rohatgi to give notice.

REASONING

Plaintiffs move for judgment on the pleadings as to the third and fourth causes of action for declaratory relief in their FAC on the ground that the plain language of the Asset Purchase Agreement ("APA") at issue unequivocally mandates that the Court determine and declare that (1) Plaintiffs' March 18, 2025 Notice of Claim complied with the terms of section 8.4(a) of the APA, and thus Defendants were required under section 8.4(c) to provide Plaintiffs with written notice contesting the validity of the Notice of Claim within 20 days; (2) Defendants' response to Plaintiffs' March 18, 2025 Notice of Claim was neither timely nor substantively compliant with the requirements of 8.4(c) and as such Defendants have waived any further right to contest the validity of said Notice of Claim; (3) as of April 9, 2025, Defendants have been obligated to pay Plaintiffs the remaining \$2.8 million in Earn-Out finds, plus prejudgment interest at Delaware's statutory rate; and (4) by obtaining declaratory relief from the Court in Plaintiffs' favor on the third cause of action for declaratory relief, Plaintiffs shall be entitled to the full modicum of available indemnification under the APA from Defendants for "Losses" as defined in section 8.1 of the APA and owed to Plaintiffs under section 8.2 of the APA including reasonable attorney's fees incurred in connection with the March 18, 2025 Notice of Claim and this action.

Governing Law

The APA provides that "[t]his Agreement and any dispute arising in connection therewith will be governed by and construed under the law of the State of Delaware without regard to conflicts-of-laws principles that would require the application of any other law." (FAC, Ex. 1 – APA § 12.11.)

"[I]f the proponent of the clause demonstrates that the chosen state has a substantial relationship to the parties or their transaction, or that a reasonable basis otherwise exists for the choice of law, the parties' choice generally will be enforced unless the other side can establish both that the chosen law is contrary to a fundamental policy of California and that California has a materially greater interest in the determination of the particular issue." (Maxim Crane Works, L.P. v. Tilbury Constructors (2012) 208 Cal.App.4th 286, 292 [internal quotations omitted].)

Here, Plaintiffs raise the applicability of Delaware law, but do not put forth any arguments that show Delaware has a substantial relationship to the parties or their transaction or that a reasonable basis otherwise exists for the choice of law. However, Defendants do not dispute, and in fact agree that the Delaware law applies to the interpretation of the substantive provisions of the APA. (Opposition, p. 10:24-25.) Thus, substantive Delaware law applies.

Though Delaware law substantively applies, California law provides procedurally. (*World Wide Imports, Inc. v. Bartel* (1983) 145 Cal.App.3d 1006, 1012 ["It is well established that while the courts generally enforce the substantive rights created by the laws of other jurisdictions, the procedural matters are governed by the law of the forum"].)

Defendant's Verified Answer to the Original Complaint

Both Plaintiffs and Defendants attempt to rely on Defendants' verified answer to the verified complaint. However, the verified complaint is no longer the pleading before the court and thus, the verified answer to the original complaint is no longer in effect. (*Darsie v. Darsie* (1942) 49 Cal.App.2d 491, 493–494 ["The law is established in California that an amended complaint supersedes the original complaint and thereafter the original complaint performs no function as a pleading"].) Thus, the controlling answer is the unverified answer to the unverified FAC.

Third Cause of Action – Declaratory Relief - Waiver

Plaintiffs argue that Plaintiffs' March 18, 2025 Notice of Claim complied with the terms of section 8.4(a) of the APA, and thus Defendants were required under section 8.4(c) to provide Plaintiffs with written notice contesting the validity of the Notice of Claim within 20 days.

Plaintiffs allege that on March 18, 2025, Plaintiffs formally transmitted a Notice of Claim to Defendants pursuant to Sections 8.4(c) and 12.2 of the APA asserting that the fourth and fifth Earn-Out payments were and are due and owing based upon their evidence-based belief that a proper accounting of successfully enabled DIVRT Stack locations consistent with the APA as of October 31, 2024, would have necessarily confirmed satisfaction of both the 2,000 and 2,500-location Milestones, thereby entitling Plaintiffs to immediate payment of the \$2.8 million in Earn-Out funds as well as reimbursement for Plaintiffs' attorneys' fees incurred as a result of Defendants' non-compliance with the APA's reporting and payment provisions, and interest on the \$2.8 million principal. (FAC, ¶¶ 102-103; Ex. 4.)

Under Section 8.4, "[u]pon obtaining knowledge of any Loss, a Person seeking to be indemnified under Section 8.1 or Section 8.2 (an "Indemnified Party") shall promptly give a Notice of Claim to an indemnifying party under Section 8.1 or Section 8.2 (the "Indemnifying Party") of any Loss in respect of which such Indemnifying Party has a duty to indemnify such Indemnified Party pursuant to Section 8.1 or Section 8.2 (a "Claim"), specifying in reasonable detail, to the extent known, the nature of the Loss for which indemnification is sought and, if practicable, the estimated amount of such Claim, except that any delay or failure to so notify the Indemnifying Party shall only relieve the Indemnifying Party of its obligations hereunder to the extent, if at all, that it is materially prejudiced by reason of such delay or failure." (FAC, Ex. 1 – APA § 8.4(a) p. 39.)

Defendants argue that Section 8.4 does not apply because Plaintiffs have not suffered a Loss. "Loss" is defined as "any loss, Liability, Tax, damage, demand, claim, cost, suit, action or cause of action, judgment, award, assessment, interest, penalty or expense (including expense of investigations and fees and disbursements of counsel and other professionals) (each a "Loss" and collectively, the "Losses") suffered or incurred by any Purchaser Indemnitee arising out of, resulting from or relating to (i) any inaccuracy or breach of any representation or warranty of the Stockholder or Seller contained in this Agreement or the Ancillary Documents, (ii) the breach by the Stockholder or Seller of any covenant, undertaking or other agreement of the Stockholder or Seller contained in this Agreement or the Ancillary Documents, (iii) any inaccuracy in any certificate, instrument or other document delivered by Seller or the Stockholder as required by this Agreement or the Ancillary Documents, (iv) the Excluded Assets or the Excluded Liabilities or (v) the matters set forth on Section 8.1 of the Seller Disclosure Schedule, if any." (FAC, Ex. 1 – APA Annex "Loss", § 8.1 [emphasis added].)

The Court finds that on the face of the FAC, Plaintiffs have not shown that they suffered or incurred a loss because the loss claimed by Plaintiffs is the fourth and fifth Earn-Out payments and as shown by the FAC, whether Plaintiffs are owed the fourth and fifth Earn-Out payments is in dispute. (FAC, ¶¶ 85, 90, 94.) Furthermore, Defendants, in their unverified answer to the unverified FAC, “deny, generally and specifically, each allegation contained in the FAC, the whole thereof, and each and every alleged cause of action contained therein. . . .” (Answer, p. 2:7-11.) The court in Delaware has explained that “[g]enerally, the matter on which the claim for indemnification is premised may be said to have been resolved with certainty only when the underlying investigation or litigation is definitively resolved.” (LaPoint v. AmerisourceBergen Corp. (Del. 2009) 970 A.2d 185, 198.) Thus, because whether Plaintiffs are owed the fourth and fifth Earn-Out payments is in dispute, whether Plaintiffs incurred a loss is in dispute, and as such whether the Notice of Claim under Section 8.4(c) is applicable is in dispute.

Furthermore, even if Section 8.4(c) is applicable, the Court finds that Plaintiffs have failed to show that Defendants waived their right to contest the validity of Plaintiffs’ claim for the remaining \$2.8 million in Earn-Out funds because Plaintiffs have not shown that Defendants did not respond to the Notice of Claim. In the April 9, 2025 email, Defendants’ counsel states that “there has been a ‘response’ in multiple respects – I did respond to your March 18 letter, and more fundamentally, your client’s demand for the fourth and fifth earn-out payments is clearly in dispute as it is not warranted by the location count provided to your client in February (which I understand [your] client in turn disputes).” (FAC, Ex. 5.) The APA does not provide that the Indemnifying Party must contest the Claim within 20 days. Rather it only provides that the Indemnifying Party has “twenty (20) days from receipt of the Notice of Claim from the Indemnified Party of such Claim within which to respond thereto.” (FAC, Ex. 1 – APA, § 8.4(c).) Thus, on the face of the FAC, Plaintiffs have not shown that Defendants did not timely respond to the Notice of Claim.

Accordingly, the Court denies the motion for judgment on the pleadings as to the third cause of action.

Fourth Cause of Action – Declaratory Relief – Attorney’s Fees

Because Plaintiffs have failed to show that Defendants did not timely respond to the Notice of Claim and thus Defendants’ waived their right to contest the validity of the Notice, Plaintiffs have not obtained declaratory relief from the Court in Plaintiffs’ favor on the third cause of action for declaratory relief. Thus, Plaintiffs have not shown that they are entitled to the full modicum of available indemnification under the APA from Defendants for “Losses” as defined in section 8.1 of the APA and owed to Plaintiffs under section 8.2 of the APA including reasonable attorney’s fees incurred in connection with the March 18, 2025 Notice of Claim and this action.

Accordingly, the Court denies the motion for judgment on the pleadings as to the fourth cause of action.